

Supplier Onboarding and Approval Process

1. Supplier Qualification Criteria

New suppliers must meet criteria including financial stability, relevant certifications, and capacity to meet order volumes. A minimum reliability score of 85% in previous engagements is required for consideration. Reference checks and site visits are part of the evaluation.

2. Documentation Requirements

Suppliers must provide completed questionnaires, quality certifications, safety records, and compliance documents. All required documentation must be submitted electronically prior to approval review. Missing documents delay the onboarding process.

3. Evaluation Process

Cross-functional teams perform evaluations including procurement, quality assurance, and compliance. Scoring covers capability, risk, pricing, and alignment with organizational values. Evaluations are completed within 30 days of document receipt.

4. Trial Order Procedures

Approved suppliers are initially awarded trial orders limited to 10% of projected annual volume. Trial performance is monitored closely for quality, delivery, and communication. Successful trial completion precedes full contract negotiation.

5. Contracting and Terms Setup

Contracts are drafted including pricing, terms and conditions, confidentiality, and dispute resolution. Legal review is mandatory prior to execution. Contract terms include performance metrics and penalties for non-compliance.

6. Training and Communication

Suppliers receive onboarding training covering supply chain processes, IT systems use, and performance expectations. Regular communication channels are established to ensure smooth integration. Contact points are clearly defined and documented.

7. System Access and Integration

Suppliers gain access to electronic procurement and inventory systems once authorized. Data exchange protocols follow security standards including encrypted transmissions. System training is provided to relevant supplier staff.

8. Performance Monitoring Post-Onboarding

Post-onboarding, suppliers undergo monthly performance reviews for the first six months. Issues are addressed through corrective action plans. Regular feedback helps suppliers meet organizational standards and improve collaboration.